Transformers & Rectifiers India Ltd

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transformers & rectifiers (india) ltd

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About the company

Sector: Electrical Equipment

Transformers & Rectifiers (India) Limited (TARIL) is an Ahmedabad-based transformer manufacturing company founded in 1981, specialising in power, furnace, rectifier, distribution, and specialty transformers — including units up to 1,200 kV class. The company serves key sectors such as power generation, transmission, distribution, and industrial applications. With strong technical expertise and a diversified client base, it is well positioned to benefit from India's ongoing power infrastructure expansion and modernization initiatives.

Company Data	Value
Market cap	₹ 8,489 Cr.
Current Price	₹ 283
Face value	₹ 1.00
Stock P/E	34
52w high/low	₹ 650 / 283

RESULT SUMMARY –Q2FY26

TRIL PDF Price ₹ 283 M.Cap ₹ 8,489 Cr PE 34.3

	YOY	Sep 2025	Jun 2025	Sep 2024
Sales	↓ 0%	460	529	462
EBIDT	↓ 26%	51.5	88.2	69.2
Net profit	↓ 25%	37.4	67.5	45.9
EPS	↓ 25%	₹ 1.13	₹ 2.24	₹ 1.51

Q2 FY26 CONCALL HIGHLIGHTS

- Revenue was broadly flat year-on-year (≈ ₹460 crore) and declined ~13 % quarter-on-quarter, primarily due to weak execution / project timing issues and the Raw material shortage.
- Operating margin dropped to ~11 % (from ~16-17 % previously), reflecting margin erosion from cost pressures (notably employee costs – ESOP) and weaker pricing/volume. Still the management is confident that the margin will come back to previous levels in the near coming Quarters.
- The company's share price declined sharply by around 20% following the Q2 results and the subsequent news regarding the World Bank's ban on its participation in World Bank–funded projects in the coming years.
- Currently, TARIL has no exposure to World Bank–funded projects. Therefore, the reported World Bank ban is not expected to have any material impact on the company's revenue recognition, either in the near term or over the long term.
- Management is confident to deliver the $1 Billion Revenue Target will be achieved by FY2028.
- Order backlog remains strong: TARIL reported an un-executed order book of ~₹5,472 crore and fresh inflows of ~₹592 crore in the quarter, indicating underlying demand still exists.
- The New capacity expansion will be completed by Q4 FY26

Our Take on TARIL

- We continue to closely monitor recent developments but remain optimistic about the company's long-term outlook.
- Management remains confident of achieving its revenue targets over the coming years.
- Operating margins are expected to normalize in the near term, supported by cost efficiency and higher capacity utilization.
- The stock is currently trading at significantly lower P/E(34) multiples compared to both its historical averages and industry peers. On an FY28 basis, the company is targeting a revenue milestone of USD 1 billion (8000 Cr) . By maintaining current margin levels, TARIL has the potential to nearly triple its profits, and even under a conservative valuation multiple of 34x P/E, the market capitalization could expand from the current ₹8,400 crore to approximately ₹24,000 crore over the next three years.
- Revenue visibility remains strong driven by a healthy order book and demand from the transmission and renewable energy sectors.
- Ongoing capacity expansion and margin improvement initiatives position TARIL well for sustained long-term wealth creation.
- However, if there is any material change in the investment thesis, we will take appropriate action, including exiting the position.

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SEBI Reg No: INP000004482

APMI No: 0178

pms@moatindia.com

Head office
3rd Floor, National Pearl Star,
Behind Changampuzha Park
Metro Station, Edappally,
Kochi, Kerala, 682024

+91 9895590168

www.moatindia.com

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